Human Resource Management - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. A statement of the qualifications, skills and traits required of the job holder is called
A. job description
B. job enrichment
C. job specification
D. job enlargement

2. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM
A. is exactly the same as personnel management with only a change of name
B. has no link with the business strategy of the organisation
C. represents a fundamentally different approach to managing people
D. deals only with payroll and maintenance of attendance records of workers

3. Judging a candidate on the basis of one strong trait is the interviewing error called
A. halo effect
B. central tendency
C. leniency
D. horns effect

4. Over-ambition and excessive self-esteem cause grievances from
A. working conditions
B. personal reasons
C. management policy
D. wage boards

5. Which factor does a fair wage consider?
A. Only the minimum amount fixed under the law for the job
B. Only the wishes of the trade union leaders in the industry
C. Only the profit that the employer has earned in the last year
D. Productivity of labour and capacity of the industry to pay

6. Which is an objective of job evaluation?
A. To appraise individual performance for the purpose of promotion
B. To select the best candidate for a vacant position
C. To fix the number of employees required for each department
D. To determine equitable wage differentials between jobs

7. Wages are generally higher in a stable economy than in a depressed economy because
A. the cost of living falls sharply during a depression of the economy
B. taxes on employers are lower in a depressed economy
C. workers demand lower wages in a stable economy
D. supply of labour increases in a depressed economy, lowering wage rates

8. A living wage is one that
A. depends entirely on the profits earned by the company in the year
B. provides a decent standard of living including education, health and some savings
C. covers only the bare food needs of the worker and not his family
D. is fixed at the lowest rate that the law permits the employer to pay

9. The evolution of HRM is generally traced from
A. scientific management and time study to office automation
B. marketing management and sales promotion to strategic marketing
C. industrial engineering and production planning to financial management
D. welfare and personnel management to strategic human resource management

10. Appraisal by Results is also known as
A. Behaviourally Anchored Rating Scale (BARS)
B. Assessment centre method
C. 360-degree appraisal
D. Management by Objectives (MBO)

11. Which employee-related factor is rewarded with pay increase and motivates workers to do better?
A. Age only
B. Religion
C. Performance
D. Distance from office

12. Kirkpatrick's four levels of training evaluation are
A. strengths, weaknesses, opportunities and threats
B. plan, do, check and act
C. reaction, learning, behaviour and results
D. price, product, place and promotion

13. Procurement, development, compensation, integration and maintenance are the
A. managerial functions of HRM
B. operative functions of HRM
C. strategic planning tools
D. legal remedies

14. In SMART goals, the letter 'T' stands for
A. Tactical
B. Targeted
C. Tangible
D. Time-bound

15. Placing all employees at the average of the scale to avoid hard conversations is
A. central tendency
B. leniency
C. halo effect
D. horns effect

16. Compared with Personnel Management, HRM is generally considered
A. limited to wage payment
B. reactive only
C. proactive and strategic
D. purely clerical and routine

17. Collective bargaining is a process in which
A. management and employee representatives meet and negotiate terms and conditions of employment
B. each employee separately negotiates his own salary with the manager
C. an outside court decides the terms of employment after hearing both sides
D. the government fixes the wages and working conditions of all employees

18. The relative amount of guaranteed versus at-risk pay is the
A. pay level
B. pay form
C. pay structure
D. piece rate

19. Which is a method of collecting job analysis data?
A. Balance sheet
B. Observation
C. Break-even chart
D. Gantt chart

20. Wage determination is the process of
A. training the employees to improve their skills on the job

B. settling the disputes between the employees and the management
C. fixing the wage rates for different jobs
D. selecting candidates for various jobs in the organisation

21. Adjudication of industrial disputes is done by
A. the personnel manager of the company, in consultation with the workers
B. the board of directors of the company by a majority vote
C. labour courts and industrial tribunals
D. the trade union and the employers' association jointly

22. A barrier to effective HRP is
A. too many accurate forecasts
B. availability of complete data
C. lack of top management support
D. perfect labour market

23. Wage payment, leave, overtime and transfer are grievances resulting from
A. personal reasons
B. working conditions
C. management policy
D. union rules

24. Which of the following is NOT an objective of HRM under the organisational objectives?
A. Contributing to organisational effectiveness
B. Providing social welfare schemes to the whole society
C. Ensuring the right people at the right place
D. Supporting the achievement of organisational goals

25. Which is an EXTERNAL source of recruitment?
A. Transfer
B. Job rotation
C. Campus placement
D. Promotion

26. In SMART goals, the letter 'R' stands for
A. Realistic and Rigid
B. Ranked
C. Result-oriented
D. Rewarding

27. Which is an INTERNAL source of recruitment?
A. Employment exchange
B. Newspaper advertisement
C. Promotion
D. Campus recruitment

28. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are
A. short-term benefits
B. termination benefits
C. defined benefit plans
D. defined contribution plans

29. A situational test asks the candidate to
A. respond to a realistic work scenario
B. fill an application form giving his personal details
C. write an essay on any topic of his choice about his hobbies
D. submit his educational certificates and testimonials to the HR office

30. Systematically linking an individual's career needs with the organisation's workforce requirements is
A. job evaluation
B. collective bargaining
C. career development

D. retrenchment

31. A system where individuals receive an annual bonus based on overall profitability of the company is
A. gainsharing
B. standard hour plan
C. piece rate
D. profit sharing

32. Person analysis of training needs identifies
A. which employees need training and what type
B. the goals and strategies of the organisation for the next five years
C. the equipment and budget available for the training programme
D. the duties and tasks to be performed in a particular job

33. Workers staying at their workplace and not working is a
A. hunger strike
B. sit-down strike
C. economic strike
D. sympathetic strike

34. Organisational analysis of training needs looks at
A. the steps involved in performing a single task in the job
B. the organisation's goals, resources and climate
C. the age, qualification and family background of employees
D. the skills of one employee compared with the job standard

35. A demerit of off-the-job training is that it
A. may be costly and lacks real work conditions
B. it can be given only to employees who are about to retire
C. it does not allow the trainee to learn from the instructor
D. the trainee learns while doing the actual work with the machines

36. Preventing members of management from leaving the premises by blocking exits with human barricades is
A. picketing
B. layoff
C. boycott
D. gherao

37. Which is the FIRST step in developing a succession plan?
A. Provide feedback to employees
B. Measure the effectiveness of the process
C. Identify which positions are included in the plan
D. Link the plan with HR systems

38. A key benefit of succession planning is
A. leadership continuity when key managers leave
B. removal of the need for any training of managers in the future
C. avoiding any link with the employee's performance
D. lower promotion opportunities and a rise in dismissals of managers

39. Giving high ratings on all traits because of one strong trait is the
A. central tendency
B. halo effect
C. horns effect
D. strictness bias

40. Performance appraisal is
A. a method of forecasting the manpower requirements of the firm
B. a process of evaluating an employee's performance of a job in terms of its requirements
C. a process of fixing the price of a job in comparison with other jobs
D. a procedure for recruiting and selecting candidates for a vacancy

41. Which of the following is an employment test?
A. Aptitude test
B. Cost sheet
C. Balance sheet
D. Trial balance

42. Stock options are an example of
A. fringe benefit only
B. variable pay
C. guaranteed pay
D. equity-based compensation

43. Human Resource Management is best described as
A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals
B. the process of recording employee attendance and preparing the monthly payroll
C. the activity of selecting and installing machinery for production departments
D. the legal process of settling disputes between a company and its customers

44. Key jobs in the factor comparison method are typically
A. 15 to 20 jobs representing wage levels across the organisation
B. only the top five executive positions of the firm
C. only the lowest paid jobs in each department
D. every job in the organisation without any exception

45. Training is mainly aimed at
A. improving employees' skills for their present jobs
B. increasing the dividend paid to the shareholders of the firm
C. reducing the number of employees on the rolls of the company
D. preparing employees for senior positions they may hold in the distant future

46. Valuing human resources as organisational assets rather than expenses is done through
A. Essay evaluation and the check list method of appraisal
B. Human Resource (Asset) Accounting
C. Straight ranking and paired comparison of employees
D. Critical incident records and the confidential reports

47. Succession planning triggered only when a key employee leaves is
A. departure-defined succession planning
B. strategic leadership development
C. emergency succession
D. career pathing

48. Training that uses a replica of the actual workplace away from production is
A. coaching
B. job rotation
C. apprenticeship
D. vestibule training

49. Which is part of the scope of industrial relations?
A. Collective bargaining and workers' participation in management
B. Choice of the sources of finance for new projects
C. Preparation of the annual balance sheet and tax returns
D. Product pricing and advertising decisions of the firm

50. Under piece rate, individuals are compensated for
A. the profit earned by the company in the financial year
B. the number of units produced
C. the length of service and seniority in the organisation
D. the number of hours spent at the workplace each day

Answer key - Set 1

1. **C**	11. **C**	21. **C**	31. **D**	41. **A**
2. **C**	12. **C**	22. **C**	32. **A**	42. **D**
3. **A**	13. **B**	23. **C**	33. **B**	43. **A**
4. **B**	14. **D**	24. **B**	34. **B**	44. **A**
5. **D**	15. **A**	25. **C**	35. **A**	45. **A**
6. **D**	16. **C**	26. **C**	36. **D**	46. **B**
7. **D**	17. **A**	27. **C**	37. **C**	47. **A**
8. **B**	18. **B**	28. **D**	38. **A**	48. **D**
9. **D**	19. **B**	29. **A**	39. **B**	49. **A**
10. **D**	20. **C**	30. **C**	40. **B**	50. **B**

Answers with explanations

1. A statement of the qualifications, skills and traits required of the job holder is called

Answer: C. job specification

Why correct: Job specification lists the qualifications, skills and traits the job holder needs.

A is wrong: Job description lists the job's duties.

B is wrong: Job enrichment adds depth and responsibility.

D is wrong: Job enlargement adds more tasks.

2. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM

Answer: C. represents a fundamentally different approach to managing people

Why correct: 'Paradigm shift' means a change in the whole way of thinking - HRM treats people as valuable resources tied to strategy, not as a cost to be administered.

A is wrong: If HRM were only a renamed personnel management there would be no 'shift'.

B is wrong: HRM is explicitly linked with business strategy, so this is wrong.

D is wrong: Payroll and attendance are old personnel tasks, which HRM goes far beyond.

3. Judging a candidate on the basis of one strong trait is the interviewing error called

Answer: A. halo effect

Why correct: Halo effect: one strong trait colours the entire rating.

B is wrong: Central tendency: rating everyone average.

C is wrong: Leniency: rating everyone too high.

D is wrong: Horns effect: one bad trait colours the rating.

4. Over-ambition and excessive self-esteem cause grievances from

Answer: B. personal reasons

Why correct: Over-ambition and excessive self-esteem come from the employee's attitude, i.e. personal reasons.

A is wrong: Working conditions are job-related.

C is wrong: Management policy is organisational.

D is wrong: Wage boards are wage bodies.

5. Which factor does a fair wage consider?

Answer: D. Productivity of labour and capacity of the industry to pay

Why correct: Fair wage considers labour productivity and the industry's capacity to pay.

A is wrong: Legal minimum alone is not fair wage.

B is wrong: Union wishes alone are not the factor.

C is wrong: Profit alone is not the factor.

6. Which is an objective of job evaluation?

Answer: D. To determine equitable wage differentials between jobs

Why correct: Job evaluation sets fair pay differences between jobs.

A is wrong: Appraising performance is appraisal.

B is wrong: Selecting candidates is selection.

C is wrong: Headcount is manpower planning.

7. Wages are generally higher in a stable economy than in a depressed economy because

Answer: D. supply of labour increases in a depressed economy, lowering wage rates

Why correct: In a depression more people seek jobs, so wages fall.

A is wrong: Cost of living does not fall sharply.

B is wrong: Employer taxes are not lower.

C is wrong: Workers do not ask for less in good times.

8. A living wage is one that

Answer: B. provides a decent standard of living including education, health and some savings

Why correct: A living wage gives a decent standard of living including education, health and savings.

A is wrong: Profit-linked pay is not a living wage.

C is wrong: Bare food only is below even minimum wage.

D is wrong: The lowest legal rate is the minimum wage.

9. The evolution of HRM is generally traced from

Answer: D. welfare and personnel management to strategic human resource management

Why correct: HRM grew from early welfare work, to personnel management, to HRM and then strategic HRM.

A is wrong: Scientific management influenced management generally; office automation is unrelated.

B is wrong: Marketing management is a different field.

C is wrong: Engineering and production planning are not the roots of HRM.

10. Appraisal by Results is also known as

Answer: D. Management by Objectives (MBO)

Why correct: Appraisal by results is Management by Objectives (MBO).

A is wrong: BARS rates behaviour.

B is wrong: Assessment centre uses simulations.

C is wrong: 360-degree uses multiple raters.

11. Which employee-related factor is rewarded with pay increase and motivates workers to do better?

Answer: C. Performance

Why correct: Pay linked to performance motivates people.

A is wrong: Age alone does not motivate.

B is wrong: Religion must not matter.

D is wrong: Distance is irrelevant.

12. Kirkpatrick's four levels of training evaluation are

Answer: C. reaction, learning, behaviour and results

Why correct: Kirkpatrick's levels: reaction, learning, behaviour, results.

A is wrong: SWOT is strategy.

B is wrong: PDCA is quality management.

D is wrong: 4Ps are marketing.

13. Procurement, development, compensation, integration and maintenance are the

Answer: B. operative functions of HRM

Why correct: Procurement, development, compensation, integration and maintenance are the specific HR activities, called operative functions.

A is wrong: Managerial functions are planning, organising, directing, controlling.

C is wrong: These are HR activities, not planning tools.

D is wrong: These are not legal remedies; they are management activities.

14. In SMART goals, the letter 'T' stands for

Answer: D. Time-bound

Why correct: In SMART, T = Time-bound.

A is wrong: Tactical is not in SMART.

B is wrong: Targeted is not in SMART.

C is wrong: Tangible is not in SMART.

15. Placing all employees at the average of the scale to avoid hard conversations is

Answer: A. central tendency

Why correct: Central tendency puts everyone around the middle to avoid extremes and tough talks.

B is wrong: Leniency gives high scores, not average ones.

C is wrong: Halo effect lifts all scores because of one good trait.

D is wrong: Horns effect lowers all scores because of one bad trait.

16. Compared with Personnel Management, HRM is generally considered

Answer: C. proactive and strategic

Why correct: Personnel management was a routine, reactive administrative job; HRM is proactive, plans ahead and links people to business strategy.

A is wrong: Wage payment alone is only one small part of HRM.

B is wrong: Reactive only is the personnel-management style; HRM anticipates needs.

D is wrong: Clerical routine describes old personnel management, not HRM.

17. Collective bargaining is a process in which

Answer: A. management and employee representatives meet and negotiate terms and conditions of employment

Why correct: Collective bargaining is negotiation between management and employee representatives.

B is wrong: Individual talks are not collective.

C is wrong: A court deciding is adjudication.

D is wrong: Government fixing wages is not bargaining.

18. The relative amount of guaranteed versus at-risk pay is the

Answer: B. pay form

Why correct: Pay form is the makeup of guaranteed and at-risk pay.

A is wrong: Pay level is market comparison.

C is wrong: Pay structure is internal comparison.

D is wrong: Piece rate is an incentive plan.

19. Which is a method of collecting job analysis data?

Answer: B. Observation

Why correct: Observation, interview, questionnaire and diary are job analysis data methods.

A is wrong: A balance sheet is a financial statement.

C is wrong: A break-even chart is a cost tool.

D is wrong: A Gantt chart is a scheduling chart.

20. Wage determination is the process of

Answer: C. fixing the wage rates for different jobs

Why correct: Wage determination fixes the wage rates for different jobs.

A is wrong: Training is development.

B is wrong: Settling disputes is industrial relations.

D is wrong: Selecting candidates is selection.

21. Adjudication of industrial disputes is done by

Answer: C. labour courts and industrial tribunals

Why correct: Adjudication is by labour courts and tribunals and is binding.

A is wrong: The personnel manager is a party.

B is wrong: The board is a party.

D is wrong: Union and employers jointly is bargaining.

22. A barrier to effective HRP is

Answer: C. lack of top management support

Why correct: Without top management support, HRP gets no resources or priority, so it fails.

A is wrong: Accurate forecasts help HRP.

B is wrong: Complete data helps HRP.

D is wrong: A perfect labour market would ease HRP.

23. Wage payment, leave, overtime and transfer are grievances resulting from

Answer: C. management policy

Why correct: Wage, leave, overtime and transfer are management-policy matters.

A is wrong: Personal reasons are attitudes.

B is wrong: Working conditions are physical and job conditions.

D is wrong: Union rules are not a source here.

24. Which of the following is NOT an objective of HRM under the organisational objectives?

Answer: B. Providing social welfare schemes to the whole society

Why correct: Social welfare for the whole of society is a societal-level goal; the organisational objectives are about making the firm itself effective.

A is wrong: This IS an organisational objective - HR exists to make the firm effective.

C is wrong: Right person in the right place is a core organisational objective.

D is wrong: Helping achieve organisational goals is the main organisational objective.

25. Which is an EXTERNAL source of recruitment?

Answer: C. Campus placement

Why correct: Campus placement brings in candidates from outside, so it is external.

A is wrong: Transfer is internal.

B is wrong: Job rotation is internal.

D is wrong: Promotion is internal.

26. In SMART goals, the letter 'R' stands for

Answer: C. Result-oriented

Why correct: In SMART, R = Result-oriented.

A is wrong: Realistic is one reading, but the course slide says Result-oriented.

B is wrong: Ranked is not in SMART.

D is wrong: Rewarding is not in SMART.

27. Which is an INTERNAL source of recruitment?

Answer: C. Promotion

Why correct: Promotion fills a vacancy from existing employees, so it is internal.

A is wrong: Employment exchange is external.

B is wrong: Newspaper advertisement is external.

D is wrong: Campus recruitment is external.

28. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are

Answer: D. defined contribution plans

Why correct: A defined contribution plan fixes the contribution, not the final benefit.

A is wrong: Short-term benefits are due within a year.

B is wrong: Termination benefits are for early exit.

C is wrong: Defined benefit fixes the benefit amount.

29. A situational test asks the candidate to

Answer: A. respond to a realistic work scenario

Why correct: A situational test puts the candidate in a realistic work scenario.

B is wrong: Filling a form is screening.

C is wrong: Writing an essay is a writing test.

D is wrong: Submitting certificates is documentation.

30. Systematically linking an individual's career needs with the organisation's workforce requirements is

Answer: C. career development

Why correct: Career development links personal career needs with the organisation's workforce needs.

A is wrong: Job evaluation values jobs.

B is wrong: Collective bargaining negotiates terms.

D is wrong: Retrenchment removes surplus staff.

31. A system where individuals receive an annual bonus based on overall profitability of the company is

Answer: D. profit sharing

Why correct: Profit sharing pays from a company profit pool.

A is wrong: Gainsharing links to productivity.

B is wrong: Standard hour is time based.

C is wrong: Piece rate is per unit.

32. Person analysis of training needs identifies

Answer: A. which employees need training and what type

Why correct: Person analysis finds who needs training and what kind.

B is wrong: Organisation goals are organisational analysis.

C is wrong: Equipment and budget are resources.

D is wrong: Tasks and duties are task analysis.

33. Workers staying at their workplace and not working is a

Answer: B. sit-down strike

Why correct: Sit-down strike: workers stay at their place but do not work.

A is wrong: Hunger strike is fasting.

C is wrong: Economic strike is for pay.

D is wrong: Sympathetic strike supports others.

34. Organisational analysis of training needs looks at

Answer: B. the organisation's goals, resources and climate

Why correct: Organisational analysis looks at goals, resources and climate.

A is wrong: Steps of a task is task analysis.

C is wrong: Personal background is irrelevant.

D is wrong: One employee vs standard is person analysis.

35. A demerit of off-the-job training is that it

Answer: A. may be costly and lacks real work conditions

Why correct: Off-the-job training can be costly and is away from real work conditions.

B is wrong: It is not only for retirees.

C is wrong: Instructors do teach.

D is wrong: Learning by doing is on-the-job.

36. Preventing members of management from leaving the premises by blocking exits with human barricades is

Answer: D. gherao

Why correct: Gherao confines management by a human barricade.

A is wrong: Picketing is outside the gate.

B is wrong: Layoff is employer inability to give work.

C is wrong: Boycott is refusal to deal.

37. Which is the FIRST step in developing a succession plan?

Answer: C. Identify which positions are included in the plan

Why correct: A plan starts by deciding which positions it will cover.

A is wrong: Feedback comes near the end.

B is wrong: Measuring effectiveness is the last step.

D is wrong: Linking with HR systems is a later step.

38. A key benefit of succession planning is

Answer: A. leadership continuity when key managers leave

Why correct: Succession planning keeps leadership continuous when key managers leave.

B is wrong: It needs more training, not none.

C is wrong: It is linked to performance.

D is wrong: It aims to increase, not reduce, opportunities.

39. Giving high ratings on all traits because of one strong trait is the

Answer: B. halo effect

Why correct: Halo effect: one strong trait makes the rater score every trait high.

A is wrong: Central tendency means rating everyone average.

C is wrong: Horns effect is the opposite - one weak trait pulls everything down.

D is wrong: Strictness bias means rating too low across the board.

40. Performance appraisal is

Answer: B. a process of evaluating an employee's performance of a job in terms of its requirements

Why correct: Performance appraisal evaluates an employee's performance against job requirements.

A is wrong: Forecasting manpower is HR planning.

C is wrong: Pricing a job relative to others is job evaluation.

D is wrong: Recruiting is not appraisal.

41. Which of the following is an employment test?

Answer: A. Aptitude test

Why correct: An aptitude test measures ability and is an employment test.

B is wrong: A cost sheet is a costing statement.

C is wrong: A balance sheet is a financial statement.

D is wrong: A trial balance is an accounting check.

42. Stock options are an example of

Answer: D. equity-based compensation

Why correct: Stock options give ownership shares, which is equity-based pay.

A is wrong: Stock options are more than a fringe benefit.

B is wrong: Variable pay is cash tied to results.

C is wrong: Guaranteed pay is fixed.

43. Human Resource Management is best described as

Answer: A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals

Why correct: HRM is the complete people function: acquiring (hiring), developing (training), motivating (pay, rewards) and maintaining (welfare, relations) employees so the organisation reaches its goals.

B is wrong: Attendance and payroll are only routine clerical tasks inside HRM, not its whole meaning.

C is wrong: Machinery selection belongs to production / operations management.

D is wrong: Settling disputes with customers is a legal / customer-service matter; HRM deals with employees.

44. Key jobs in the factor comparison method are typically

Answer: A. 15 to 20 jobs representing wage levels across the organisation

Why correct: Factor comparison uses about 15-20 key jobs covering all wage levels.

B is wrong: Top executives alone are not representative.

C is wrong: Lowest paid jobs alone are not representative.

D is wrong: Not every job is a key job.

45. Training is mainly aimed at

Answer: A. improving employees' skills for their present jobs

Why correct: Training improves skills for the present job.

B is wrong: Dividends are not a training aim.

C is wrong: Training does not aim to cut staff.

D is wrong: Preparing for senior roles is development.

46. Valuing human resources as organisational assets rather than expenses is done through

Answer: B. Human Resource (Asset) Accounting

Why correct: Human Resource Accounting values people as assets.

A is wrong: Essay and check list are traditional methods.

C is wrong: Ranking and paired comparison are traditional methods.

D is wrong: Critical incidents and confidential reports are traditional methods.

47. Succession planning triggered only when a key employee leaves is

Answer: A. departure-defined succession planning

Why correct: Departure-defined planning starts only when someone actually leaves.

B is wrong: Strategic leadership development is planned long before.

C is wrong: Emergency succession covers sudden short-term gaps.

D is wrong: Career pathing is planned movement, not triggered by departure.

48. Training that uses a replica of the actual workplace away from production is

Answer: D. vestibule training

Why correct: Vestibule training uses a replica of the workplace.

A is wrong: Coaching is on the job.

B is wrong: Job rotation is on the job.

C is wrong: Apprenticeship is on the job.

49. Which is part of the scope of industrial relations?

Answer: A. Collective bargaining and workers' participation in management

Why correct: Collective bargaining and workers' participation are core IR.

B is wrong: Finance sources are finance.

C is wrong: Balance sheets are accounts.

D is wrong: Pricing and advertising are marketing.

50. Under piece rate, individuals are compensated for

Answer: B. the number of units produced

Why correct: Piece rate pays per unit produced.

A is wrong: Company profit is profit sharing.

C is wrong: Seniority is not a piece-rate basis.

D is wrong: Hours at work is time rate.